

of their interest. The buyer placed a mortgage of \$285,000 with a savings bank, covering the entire property including the land formerly leased. The rental obligation existing with respect to part of the plot makes this example less clear-cut than the U. S. Express building case. But the fact that the Court-Livingston stock sold for much less than the applicable cash holdings shows the extraordinary undervaluation resulting from the use of the *stock form* under conditions in which the *bond form* is the usual and expected medium of financing.

NOTE 5

"American Certificates" representing \$5.36 par value (at then current rates of exchange) of Kreuger and Toll Co. Participating 5% Debentures, due optionally in 2003, were sold in the American market at \$28.14 each. The following features justified classification of the issue as of the commonstock type:

1. The underlying Debentures bore interest at 5%, payable annually, and were entitled to additional interest at the rate of 1% for each 1% by which the dividend paid or declared on the ordinary shares in any fiscal year exceeded 5%.

2. The issue price of the "American Certificates" was $5\frac{1}{4}$ times the par value of the related Debentures. At the regular (*i.e.*, the nonparticipating) interest rate of 5% the yield on the offering price would be less than 1%.

3. The owner was dependent for a reasonable income upon the participating feature of the Debentures, and this in turn was governed by the dividend paid on the stock. Only about *one-fifth* of the income and principal value of this security could be ascribed to the bond contract; the remaining four-fifths had all of the contingent and variable features of a common-stock commitment. This division may be set forth as follows:

(PER UNIT OF 20 KRONER)

Item	Bond component	Stock component	Total
Principal	\$5.36	\$22.78	\$28.14
Income in 1928	0.27	1.07	1.34

These certificates sold as high as $46\frac{3}{8}$ in 1929 and at $\frac{1}{2}$ cent in 1934.

NOTE 6

Convincing evidence of the investment character of National Biscuit Co. Preferred is found in the price history and dividend record of the issue. The annual dividend of \$7 per share has been paid regularly since organization of the